

# A DIGITAL LEAP

Pune-headquartered Bajaj Finance's Rajeev Jain takes the non-banking financial company on yet another transformative journey

By **Anand Adhikari**

► **FIVE MONTHS BEFORE** Covid-19 emerged, board members of the Pune-headquartered Bajaj Finance sat down to give final shape to its five-year strategic plan. It was a routine affair; the mood was sanguine. The consumer finance company had created a record of sorts by raising capital of \$1.2 billion, to fuel its massive growth opportunity. For the past decade and a half, the company's income, assets under management, and profits have been growing at a staggering compounded annual growth rate (CAGR) of 30 per cent-plus. "Given the fast-changing landscape, the natural evolution fundamentally required us to become end-to-end digital," explains Rajeev Jain, Managing Director of the ₹1.81-lakh crore (asset size) company.

The board didn't take much time to give its stamp of approval to build a one-stop shop financial services

super app with a shopping and e-commerce ecosystem. "The thought process was to be available 24x7 to our 42.6 million-plus customers, have two-way engagement, and offer them everything they need when they want it," says Jain, who spurs a start-up culture. Most observers believe that this transformation exercise of the omnichannel network, which is currently underway, was the outcome of the pandemic, but it had actually begun earlier. However, the pandemic did send the plan back to the drawing board for a rethink. "Nothing can make you think as hard as a crisis does. That's the learning for us to exploit the new opportunities emerging in a [Covid-19] crisis situation," explains Jain, 51, who has played a key role in transforming a small Bajaj Finance into one of India's fastest-growing NBFCs. The Covid-19 crisis pushed Jain—and other professional CEOs—harder to think more deeply and broadly about new digital initiatives in the light of behavioural changes amongst consumers. But more on that later.

Jain, who generally starts his day at 7 am, has played a key role in making the company's zero-interest, consumer durables financing product—now known as 'Buy now, pay later'—a big hit, so big that it was instantly replicated by competitors, including high street banks. Partly, the experience and wisdom of two stalwarts—the late Rahul Bajaj and ex-Citibanker Nanoo Pamnani—helped the company, but it was Jain's execution skills, which he honed in multinational firms like GE, American Express and AIG, that drove the product's strategy. "Once a broader strategy is in place, he rolls up his sleeves to do the job," says a professional who worked with Jain earlier.

## Champion of Champions

### Rajeev Jain

MD, Bajaj Finance Ltd

|                         |                   |             |
|-------------------------|-------------------|-------------|
| Revenue from operations | <b>FY21</b>       | 23,532.16   |
|                         | <b>Q3 FY22</b>    | 7,523.07    |
| Profit before tax       | <b>FY21</b>       | 5,362.88    |
|                         | <b>Q3 FY22</b>    | 2,609.84    |
| Profit after tax        | <b>FY21</b>       | 3,955.51    |
|                         | <b>Q3 FY22</b>    | 1,933.85    |
|                         | <b>RoE (%)</b>    | 11.77       |
|                         | <b>Market Cap</b> | 4,18,330.11 |

● Standalone results; all figures in ₹ crore except RoE

● M-cap as of February 7

● Data Source: BSE, ACE Equity